'We told you to do more.' And the massive fiscal deficits in Europe, as well as the European Central Bank's tremendous increase in lending to banks, suggest that it is not for want of government stimulus that growth is still fragile there.

In fact, today's economic troubles are not simply the result of inadequate demand but the result, equally, of a distorted supply side. For decades before the financial crisis in 2008, advanced economies were losing their ability to grow by making useful things. But they needed to somehow replace the jobs that had been lost to technology and foreign competition and to pay for the pensions and health care of their aging populations. So in an effort to pump up growth, governments spent more than they could afford and promoted easy credit to get households to do the same. The growth that these countries engineered, with its dependence on borrowing, proved unsustainable.

Rather than attempting to return to their artificially inflated GDP numbers from before the crisis, governments need to address the underlying flaws in their economies. In the United States, that means educating or retraining the workers who are falling behind, encouraging entrepreneurship and innovation, and harnessing the power of the financial sector to do good while preventing it from going off track. In southern Europe, by contrast, it means removing the regulations that protect firms and workers from competition and shrinking the government's presence in a number of areas, in the process eliminating unnecessary, unproductive jobs.

THE END OF EASY GROWTH

To understand what will, and won't, work to restore sustainable growth, it helps to consider a thumbnail sketch of the economic history of the past sixty years. The 1950s and 1960s were a time of rapid economic expansion in the West and Japan. Several factors